

Justification for Other Than Full and Open Competition, 5 Year Renewal Option

U.S. General Services Administration

GSA Region 1

PBS/1PRL

JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION

PROJECT NUMBER: 2RI0067

LEASE NUMBER: LRI04997

Agency Name: [REDACTED]

1. NATURE AND/OR DESCRIPTION OF ACTION BEING APPROVED.

The General Services Administration currently leases 16,348 ABOA/18,345 rentable square feet (RSF) of office space at [REDACTED] under lease number GS-01P-LRI04997 for the [REDACTED]. The current lease expires 7/31/2025. Approval is requested to negotiate a five (5) year renewal option with a one (1) year firm term, with the incumbent Lessor without full and open competition for continued occupancy at this leased location. The procedures for pursuing a renewal option are detailed in GSAR 570.401: Renewal Options.

2. DESCRIPTION OF THE SUPPLIES OR SERVICES REQUIRED TO MEET THE AGENCY'S NEEDS (INCLUDING ESTIMATED VALUE).

[REDACTED] has a continuing need to remain at their current space until the new replacing project is secured. To satisfy the [REDACTED] mission requirements, the GSA project schedule estimates a new replacing follow on project to be awarded approximately 9/1/2026.

This 5-year renewal option is for 16,348 ABOA/18,345 RSF of office space with a 1-year firm term to commence on 8/1/2025. The estimated cost of this lease is [REDACTED] Annual rent [REDACTED] Operating [REDACTED] Annual rent) per rentable square foot per year for an annual cost of [REDACTED] and a total contract value of [REDACTED]. The delineated area is [REDACTED] Central Business. There is no vacant Federal Space available.

3. IDENTIFICATION OF STATUTORY AUTHORITY PERMITTING OTHER THAN FULL AND OPEN COMPETITION.

41 U.S.C. 3304(a)(1): Only one responsible source and no other supplies or services will satisfy agency requirements. This statutory authority is implemented through GSAR 570.401. In accordance with GSAR 570.401, use of the sole source authority is appropriate where it is determined that award to any other offeror would result in substantial duplication of costs to the Government that are not expected to be recovered through competition.

4. DEMONSTRATION THAT THE PROPOSED CONTRACTOR'S UNIQUE QUALIFICATIONS OR NATURE OF THE ACQUISITION REQUIRES THE USE OF THE AUTHORITY CITED.

It is in the best interest of the Government to remain at the current location for a short-term renewal with termination rights after 7/31/2026. Award to other than the current Lessor would require relocation of the entire requirement and would cause [REDACTED] to incur move and replication costs that would not be recovered through competition. Relocation costs are estimated to [REDACTED] (see Exhibit A). Additionally, this allows the Government to make use of existing tenant improvements, avoiding replication costs of [REDACTED].

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██████████ in the short term. See Exhibit A (Tab1, ROM CB Analysis). A cost-benefit analysis was completed following the procedures set forth in GSAR 570.402-5. The cost of relocating ██████████ using the low-cost quote exceeds the cost of remaining at ██████████ under a renewal option. The total savings to the Government ██████████ (see Exhibit A).

5. DESCRIPTION OF EFFORTS MADE TO ENSURE THAT OFFERS ARE SOLICITED FROM AS MANY POTENTIAL SOURCES AS IS PRACTICABLE.

Per the requirements of GSAR 570.401, the GSA Lease Contracting Officer's Representative placed an advertisement on the Contracting Opportunities domain of SAM.gov on 11/27/2024 for 15 days. In addition, PBS conducted market research using CoStar and identified 21 potential locations.

6. DEMONSTRATION BY THE CONTRACTING OFFICER THAT THE ANTICIPATED COST TO THE GOVERNMENT WILL BE FAIR AND REASONABLE.

Recent market surveys conducted by PBS in ██████████ showed the rental rate within the delineated area ranges from ██████████ per RSF according to REIS.

Therefore, the proposed rental rates for this succeeding lease ██████████ Operating)/RSF, are within the current market range for this submarket and are deemed fair and reasonable by the GSA Lease Contracting Officer.

7. DESCRIPTION OF MARKET RESEARCH CONDUCTED AND THE RESULTS.

GSAR 570.402-5 allows for negotiation with the incumbent Lessor when a cost-benefit analysis shows that the Government cannot expect to recover relocation and duplication costs through competition.

GSA is actively working with ██████████ on a separate New Replacing procurement. For that lease action GSA conducted market research using CoStar on 5/21/2024 and identified 21 potentially acceptable locations plus the incumbent that might meet the agency's needs within the delineated area. In addition, on 6/27/2024 and 7/8/2024, GSA and ██████████ conducted a market tour in conjunction with the agency's new replacing procurement action. During the physical market tour, GSA and ██████████ viewed 10 potentially acceptable locations. For the purposes of this renewal option, the current lease expires 7/31/2025 which does not allow sufficient time to secure the new replacing procurement. Approval is requested to negotiate a five (5) year renewal option with a one (1) year firm term, with the incumbent Lessor without full and open competition for continued occupancy at this leased location.

PBS posted an advertisement conforming to GSAR 570.402-2 on the Contract Opportunities domain of SAM.gov website on 12/11/2024 for the short-term renewal. The incumbent Lessor's expression of interest indicated that the rate would be ██████████ per RSF.

See Figure 1 below for the short-term renewal procurement results for expressions of interest (EOI) received to the SAM.gov advertisement, for the 5-year renewal option. The incumbent was the only EOI.

Address	Source [EOI/CoStar, etc.]	Asking Full Service Rental Rate
██████████ (██████████,██████████,██████████,██████████)	██████████	██████████ Shell and Operating

List of Market Research Comparables can be found in Exhibit B (CoStar Report)

8. OTHER FACTS SUPPORTING USE OF OTHER THAN FULL AND OPEN COMPETITION.

The ██████████ action of confirmation of continuous needs and specific procurement details delayed the overall new replacing project procurement which is requiring the need for a short-term renewal option

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that would include a one (1) year firm term effective 8/1/2025 through 7/31/2026 allowing GSA termination rights.

9. LIST OF SOURCES, IF ANY, THAT EXPRESSED, IN WRITING, AN INTEREST IN THE ACQUISITION.

Incumbent

10. STATEMENT OF ACTIONS, IF ANY, THE AGENCY MAY TAKE TO REMOVE OR OVERCOME ANY BARRIERS TO COMPETITION BEFORE ANY SUBSEQUENT ACQUISITION.

There are no systemic barriers to competition. If the agency has a continuing need for space upon lease expiration, GSA will follow all authorities, regulations and policies applicable to lease acquisition. Should there be remaining useful life in the Government's tenant improvements, the Government will consider the cost of moving from the existing location, and the cost to build out new space when deciding whether to undergo a competitive action.

Additionally, objective scrutiny will be given to the customer agency's mission and security requirements (if applicable) to eliminate unnecessary agency space requirements that may be deemed unduly restrictive.

11. CONTRACTING OFFICER CERTIFICATION.

By signature on this Justification for Other than Full and Open Competition, the GSA Lease Contracting Officer certifies that the award of a succeeding lease of 18,345 RSF is in the Government's best interest and that this Justification is accurate and complete to the best of the GSA Lease Contracting Officer's knowledge and belief.

 Date 12/12/2024
Lori Melchin, Lease Contracting Officer

12. PREPARER'S TECHNICAL CERTIFICATION.

I certify that the supporting data used to form the basis of this Justification is complete and accurate to the best of my knowledge and belief.

 Date 12/12/2024
Edgardo Gonzalez, Leasing Specialist

DocuSigned by:
[Redacted Signature] Date 12/12/2024
Vicki Kwiatek, Regional Leasing Director

DocuSigned by:
[Redacted Signature] Date 1/7/2025
Carey Bergeron, Regional Counsel

DocuSigned by:
[Redacted Signature] Date 1/9/2025
Matthew Bailey, Competition Advocate

DocuSigned by:
[Redacted Signature] Date 1/9/2025
Glenn Rotondo, Head of Contracting Activity (HCA)